

BOARD OF DIRECTORS

Shri.M.Lavakumar	Chairman & Managing Director
Shri.J.M.Menezes	Director
Shri.John.B.Thangasamy	Director

Auditors	M/s.N.Subramanian Chartered Accountant, # 81, Greens Road,Chennai-6.
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Registered & Admin. Office	64 (New No.) 8 th Cross Street, West Shenoy Nagar, Chennai 600 030.
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Share Transfer Agency	M/s.Cameo Corporate Services Ltd., "Subramanian Building" No.1, Club House Road, Chennai 600 002.
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Listing on Stock Exchanges	a)Bombay Stock Exchange Ltd P.J.Towers, Dalal Street, Mumbai-400 001. b)Madras Stock Exchange Ltd., Exchange Building, 11, Second Line Beach, Chennai 600 001.
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NOTICE

NOTICE is hereby given that the 30th Annual General Meeting of the members of **KLK ELECTRICAL LIMITED** will be held on Thursday the 29th September, 2011 at 11.00 A.M. at the Registered Office of the Company, at New no.64, 8th Cross Street, West Shenoy Nagar, Chennai – 600 017, to transact the following business:

ORDINARY BUSINESS:

1. To receive, consider and adopt the Audited Balance Sheet of the Company as at 31st March, 2011 and Profit and Loss Account for the year ended on that date and the Reports of Directors and Auditors thereon.
2. To appoint a Director in place of **Shri. John B.Thangasamy**, who retires by rotation on that date and being eligible, offers himself for re-appointment.
3. To appoint Auditors to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting on a remuneration to be decided by the Board of Directors.

SPECIAL BUSINESS:

4. INCREASE OF THE AUTHORISED SHARE CAPITAL AND CONSEQUENT AMENDMENT TO THE MEMORANDUM AND ARTICLES OF ASSOCIATION

*To consider and if thought fit, to pass, with or without modification(s), the following resolution as a **Special Resolution**:*

"RESOLVED THAT pursuant to provisions of Section 16, 31, 94 and other applicable provisions, if any, of Companies Act, 1956, the Authorised Share Capital of the Company be increased from Rs. 2,00,00,000/- (Rupees Two Crores only) to Rs.5,00,00,000/- (Rupees five Crores only) by creation of 30,00,000 further equity shares of Rs. 10/- each ranking *pari passu* with the existing equity shares."

"RESOLVED FURTHER THAT the existing clause IV of the Memorandum of Association of the company be substituted as follows:

"The share capital of the Company is Rs. 5,00,00,000 divided into 50,00,000 equity shares of Rs.10 each. The Company has the power from time to time to increase or reduce its capital. Any of the said shares and any new shares hereafter to be created may from time to time be divided into shares of several classes in such manner as the Articles of Association of the Company, may prescribe or allow and so that the shares of each class may have or confer such preferred or other special rights and privileges and may be issued under such restrictions and conditions whether in regard to dividend, voting return of capital or otherwise as shall have been assigned there to by or under provisions of the Articles of Association but so that the special rights or privileges belonging to holders of any shares issued with preferred or other rights shall not be varied or abrogated or affected except with such sanction as is provided for by the Articles of the Company for the time being."

RESOLVED FURTHER THAT the existing Clause 3(a) of the Articles of Association of the Company be substituted as follows:

"The share capital of the Company is Rs.5,00,00,000 divided into 50,00,000 equity shares of Rs.10/- each."

RESOLVED FURTHER THAT Mr. V. Lavakumar, Chairman be and is hereby authorised to do such acts, deeds and things as may be deemed expedient to give effect to this resolution including but not limited to filing of the necessary e-forms under his digital signature on the web portal of the Ministry of Corporate Affairs."

5. ISSUE OF EQUITY SHARES UNDER PREFERENTIAL BASIS

*To consider and if thought fit, to pass, with or without modification(s), the following resolution as a **Special Resolution**:*

"RESOLVED THAT the consent of the company be and is hereby accorded to the Board, pursuant to the 81(1A) and other relevant provision of the Companies Act,1956 as also of any other applicable laws, rules and regulations (including any amendments thereto or reenactment thereof for the time being in force) and enabling the provisions in the Memorandum and Articles of Association of the Company and the Listing Agreement entered into by the Company with the Stock Exchange where the share of the Company are listed and subject to such approvals, consents, permissions and sanctions of the Government of India, Reserve Bank of India, Securities and Exchange Board of India (SEBI) and all other appropriate authorities concerned and subject to such conditions and modification as may be prescribed by any of them in granting such approvals, consents, permissions and sanctions which may be agreed to by the Board of Directors of the Company ("Board")(which terms shall be deemed to include any Committee the Board may be constituted or hereafter constitute for the time being exercising the powers conferred on the Board by this resolution), which the Board be and is hereby authorised to accept, if it thinks fit in the interest of the company, to issue, offer and allot Equity shares on preferential basis up to 20,00,000 (Twenty Lakhs) equity shares of the face value of Rs. 10/- each fully paid-up at a premium of Rs.5/- for an aggregate amount up to Rs. 3,00,00,000 (Rupees three Crores only) to the following persons, and upon such terms and conditions as may be deemed appropriate by the Board at its absolute discretion.

Sl. No.	Name of the proposed allottees	No. of equity shares to be allotted
	Rajendra Naniwadekar	3,25,000
	Rudram Investments & Finance Private Ltd	3,00,000
	Uday Kranti Investments Limited	3,50,000
	Marsh CDM Services Private Limited	3,25,000
	Matric Finvest Private Limited	3,50,000
	Venkata Soma Sekhara Reddy Vamireddy	3,50,000
	Total	20,00,000

RESOLVED FURTHER THAT the above said Equity shares shall be under a lock in period of three years for the promoters and one year for those allottees other than promoters from the date of allotment made by the Board of Directors of the Company as per the SEBI Regulations for Preferential Allotment contained in Chapter VII of the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009.

RESOLVED FURTHER THAT

(a) The 'relevant date' for the purpose of pricing of the equity shares, in accordance with the SEBI Regulations is August 29, 2011 being the 30th day prior to September 29, 2011 (i.e. the date on which the Annual General Meeting of the shareholders will be held, in terms of Section 81(1A) of the Companies Act, 1956 to consider the proposed issue of equity shares on preferential basis).

(b) The Board be and is hereby authorized to decide and approve, other terms and conditions of the issue of equity shares as above and also shall be entitled to vary, modify or alter any of the terms and conditions, including the size of the issue, as it may deem expedient.

©The Board be and is hereby authorised to delegate all or any of the power herein conferred by this resolution to any director or directors or to any committee(s) of the directors or any other officers of the Company or to any other person or persons as it may deem fit, for the purpose of giving effect to the aforesaid resolution.

RESOLVED FURTHER THAT all such equity shares shall be subject to the terms prescribed by the Board and the relevant clauses of the Memorandum and Articles of Association of the Company.

RESOLVED FURTHER THAT equity shares so issued shall rank pari-passu in all respects with the existing equity shares of the Company.

RESOLVED FURTHER THAT for the purpose of giving effect to the above issue of equity shares, the Board be and is hereby authorised to all such acts, deeds, matters, and things as it may, in its absolute discretion, deem necessary or desirable and to settle any questions, difficulty or doubt that may arise in regard to the offer, issue and allotment of the new equity shares.

RESOLVED FURTHER THAT the Board of Directors of the company be and is hereby authorised to delegate all or any of the powers hereinabove conferred to any committee of the Directors of the company to give effect to the aforesaid resolution."

By order of the Board,
For KLK Electrical Ltd.
(V.Lavakumar)
CHAIRMAN

Place: CHENNAI
Date: 02.09.2011

NOTES:

1.A Member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of himself and the proxy need not be a member of the Company. Proxies in order to be effective must be received by the Company not less than forty eight hours before the commencement of the meeting. Form of proxy is enclosed.

2.The Explanatory Statement pursuant to section 173 of the Companies Act, 1956 is given below and forms part of the Notice.

3.Since the Company is yet to declare any dividend, disclosure regarding status of unclaimed dividend under section 205A of the Companies Act, 1956 does not arise.

4.The Register of Members and Share Transfer Books of the Company will remain closed from 28th September, 2011 to 29th September, 2011 (both days inclusive).

5.Shareholders are requested to bring their copy of Annual Report to the meeting.

6.Members/ Proxies should bring the attendance slips filled in for attending the meeting.

7.Members are requested to notify immediately any change in their address (with Pin-Code), if any, quoting their registered folio numbers to the Registrar and Transfer Agent M/s. Cameo Corporate Services Limited, "Subramanian Building", 1, Club House Road, Chennai - 600 002.

8.Members seeking any information with regard to Accounts are requested to write to the Company at an early date so as to enable the management to keep the information ready.

9.Members are requested to quote their folio number and name in all correspondence with the Company.

10.Corporate members intending to send their authorised representatives are requested to send a duly certified copy of the Board resolution authorizing their representatives to attend and vote at the Annual General Meeting.

ANNEXURE TO THE NOTICE

EXPLANATORY STATEMENT PURSUANT TO SECTION 173(2) OF THE COMPANIES ACT, 1956

ITEM: 4 - INCREASE OF THE AUTHORISED SHARE CAPITAL AND CONSEQUENT AMENDMENT TO THE MEMORANDUM AND ARTICLES OF ASSOCIATION

The present Authorised Share Capital of the Company is Rs. Two Crores. In view of the proposal for further issue of Shares, it is proposed to increase the Authorised Share Capital of the Company from Rs.2,00,00,000 (Rupees Two Crores only) divided into 20,00,000 equity shares of Rs. 10/- each to Rs. 5,00,00,000 (Rupees Five Crores only) divided into 50,00,000 equity shares of Rs. 10/- each.

The Board of directors at their meeting held on September 2, 2011 approved the proposal for increase in Authorised Share Capital of the Company and consequent amendments to the Memorandum and Articles of Association of the Company.

Increase in Authorised Share Capital would necessitate amendment to the Clause IV of the Memorandum of Association and Clause 3(a) Articles of Association of Company and would require member's approval by passing a Special Resolution.

None of the directors may be considered to be interested or concerned in this Resolution.

ITEM: 5 - ISSUE OF EQUITY SHARES UNDER PREFERENTIAL BASIS

1.Objects and background of the Issue

The purpose of the issue of equity shares on preferential basis is to clear the existing liabilities, for working capital and to explore other business opportunities.

2. Relevant date and Pricing of the Issue

The 'relevant date' for the purpose of pricing of the equity shares, in accordance with the SEBI Regulations is August 29, 2011 being the 30th day prior to September 29, 2011 (i.e. the date on which the Annual General Meeting of the shareholders will be held, in terms of section 81(1A) of the Companies Act, 1956 to consider the proposed issue of equity shares on preferential basis)

"Pricing of the Issue" – The issue price of Rs.15/- (Rupees fifteen Only) arising out of the preferential issue of shares is in accordance with the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009

and for the purpose of the above guidelines the relevant date would be August 29, 2011

3. Intention of the promoters or their associates and relatives to subscribe to the offer.

The present proposed 20,00,000 Equity Shares to be issued on preferential basis to non promoters of the company. None of the promoters or associates and relatives is interested to subscribe to the offer.

4. Identity of the proposed allottees and percentage of post issued capital that may be held:

Name and address of the proposed allottees	No. of Shares proposed to be allotted	Amount (In Rs.)	Existing Shareholding in the Company	Shareholding after the preferential allotment	% of Shareholding by the post preferential Equity Capital
Rajendra Nani wadekar 3-4-252/1, Kachiguda, Hyderabad 500 027	3,25,000	48,75,000	10,200	3,35,200	10.31
Rudram Investments & Finance Private Limited, 3-4-512/46, Street #9, Barkatpura, Hyderabad	3,00,000	45,00,000	0	3,00,000	9.23
Uday Kranti Investments Limited, 3-4-138/A, Lingampally Hyderabad	3,50,000	52,50,000	0	3,50,000	10.77
Marsh CDM Services Private Limited B-403, Kushal Towers Khairatabad , Hyderabad 500 004	3,25,000	48,75,000	0	3,25,000	10.00
Matric Finvest Pvt.Ltd. 1367, Road # 45 Jubilee Hills, Hyderabad 500 033	3,50,000	52,50,000	0	3,50,000	10.77
Venkata Soma Sekhara Reddy Vemireddy 6-1-52, Godugupalem, Ongole 523002	3,50,000	52,50,000	0	3,50,000	10.77
TOTAL	20,00,000	3,00,00,000			

5. Shareholding pattern before and after the offer

Category code	Category of Shareholder	Pre Issue		Post Issue	
		Number of shares	% of shareholding	Number of shares	% of shareholding
(A)	Shareholding of Promoter and Promoter Group				
1	Indian				
(a)	Individuals / Hindu Undivided Family	2,78,150	22.25	2,78,150	8.56
(b)	Central Government / State Government(s)	0		0	
(c)	Bodies Corporate	0		0	
(d)	Financial Institutions / Banks	0		0	
(e)	Any Others (Specify)	0		0	
	Sub-total	2,78,150	22.25	2,78,150	8.56
2	Foreign				
a	Individuals (Non-resident Individuals/foreign Individuals)	0		0	
b	Bodies Corporate	0		0	
c	Institutions	0		0	
d	Any Others (Specify)	0		0	
	Sub-total (A)(2)	0		0	
	Total Shareholding of Promoter and Promoter Group (A) = (A)(1)+(A)(2)	2,78,150	22.25	2,78,150	8.56
(B)	Public shareholding				
1	Institutions				
(a)	Mutual Funds/ UTI	0		0	
(b)	Financial Institutions / Banks	0		0	
(c)	Central Government / State Government(s)	0		0	
(d)	Venture Capital Funds	0		0	
(e)	Insurance Companies	0		0	
(f)	Foreign Institutional Investors	0		0	
(g)	Foreign Venture Capital	0		0	

Category code	Category of Shareholder	Pre Issue		Post Issue	
		Number of shares	% of shareholding	Number of shares	% of shareholding
	Investors				
(h)	Any other (specify)	0		0	
	Sub-total (B) (1)	0		0	
B 2	Non-institutions				
(a)	Bodies Corporate	19,900	1.59	13,44,900	41.38
(b)	Individuals				
	i. Individual shareholders holding nominal share capital up to Rs.1 lakh	5,28,273	42.26	5,28,273	16.26
	ii. Individual shareholders holding nominal share capital in excess of Rs.1 lakh.	3,16,977	25.36	9,91,977	30.52
(c)	Any Other				
	a) Clearing Member	1,600	0.13	1,600	0.05
	b) NRIs	96,500	7.72	96,500	2.97
	c) Trust (HUF)	8,600	0.69	8,600	0.26
	Sub-total (B)(2)	9,71,850	77.75		
(B)	Total Public Shareholding (B) = (B)(1)+(B)(2)	9,71,850	77.75	29,71,850	
	TOTAL (A)+(B)	12,50,000	100.00	32,50,000	100.00
(C)	Shares held by Custodians and against which Depository Receipts have been issued	-	-	-	-
	(1) Promoter and Promoter Group	-	-	-	-
	(2) Public	-	-	-	-
	GRAND TOTAL (A)+(B)+(C)	12,50,000	100.00	32,50,000	100.00

6. Proposed time within which the allotment shall be completed

The allotment of shares shall be completed within 15 days from the date of passing the resolution by the shareholders, provided that where the allotment is pending on account of pendency of any approval from any regulatory authority or the Central Government, then the allotment shall be completed by the Company within a period of 15 days from the date on which the company receives all approvals from the concerned authorities and receipt of subscription from the investors.

7. Composition of the Board / Control

There will be no change in the composition of the Board and there will be not any change in control of the company as a result of the preferential issue of shares.

8. Auditor's Certificate

A copy of the certificate of the company's statutory auditor as per SEBI Regulations shall be placed before the shareholders.

The provisions of the Companies Act, 1956 contemplate consent of the members by way of special resolution in general meeting for further issue of shares to persons other than the existing holders of shares.

Shareholders consent is sought pursuant to Section 81 (1A) of the Companies Act, 1956 and in terms of the Listing Agreement with the Stock Exchanges to the issue of the above shares on preferential basis as set out in the resolution.

None of the promoters / directors are interested in the subject matter of this resolution.

Your directors recommend the proposed resolution for approval

By order of the Board,

For KLK Electrical Ltd
(V.LAVAKUMAR)
CHAIRMAN

Place: CHENNAI
Date: 02.09.2011

DIRECTOR'S REPORT TO THE MEMBERS

Dear Members,

Your Directors have pleasure in presenting the 30th Annual Report of the Company with audited accounts for the year ended 31st March, 2011.

FINANCIAL RESULTS

Particulars	31.03.2011 (Rs. in Lakhs)	31.03.2010 (Rs. in Lakhs)
Sales	24.09	90.84
Service Charges	--	-
Other Income	1.19	--
Profit/ (Loss) Before Dep. & Tax	(-).9.71	2.42
Depreciation	0.25	0.30
Profit/ (Loss) After depreciation	(-).9.96	2.12
Provision for Taxation	NIL	NIL
Profit After tax	(-).9.96	2.12
Investment allowance reserve	NIL	NIL
Transferred to General Reserve	NIL	NIL
Provision for dividend	NIL	NIL
(Loss) Balance C/F to next year	(76.86)	(66.90)

OPERATIONS:

The Company achieved turnover of Rs.25.28 Lakhs (Previous Year Rs. 90.84 Lakhs). The turnover declined due to lack of demand.

DEPOSITS:

The Company has not invited / received any fixed deposits during the year under review as per section 58A of the Companies Act, 1956 read with Companies (Acceptance of Deposits) Rules, 1975.

DIVIDEND:

Your directors have not recommended any dividend for the financial year ended 31st March, 2011 to the members due to Loss.

DIRECTORS:

In accordance with the provisions of the Companies Act, 1956, and the Companies (Directors' Qualifications) Regulations, 1956, Mr. John B. Thangasamy, Director is due to retire by rotation and is eligible for re-appointment.

AUDITORS:

M/s. N. SUBRAMANIAN, Chartered Accountants, Chennai retire as Auditors of the Company at the conclusion of the ensuing Annual General Meeting and have confirmed their eligibility and willingness to accept the office of Auditors, if re-appointment.

AUDITORS REPORT:

The observations made by the auditors in their report and notes to the accounts are self-explanatory.

LISTING STATUS:

The Company's Shares are listed both in Chennai and Bombay Stock Exchanges at present. Listing fees have been paid for the financial year.

CORPORATE GOVERNANCE:

Pursuant to the circular of Securities and Exchange Board of India, the Stock Exchanges have incorporated a Clause 49 in the Listing Agreement on Corporate Governance with regard to the composition of Board of Directors, Audit Committee, Remuneration of Directors, Board meeting procedures, Management, discussions and analysis about the business, redressal of shareholders' grievances and their services. According to the schedule of implementation forwarded by these Stock Exchanges, the Companies whose paid-up capital is Rs.3 Crores and above is advised to comply with the Clause 49 of the Listing Agreement. Since the capital of your Company is less than Rs.3 Crores, compliance of the Clause 49 of the Listing Agreement does not arise.

INFORMATION UNDER SECTION 217(1)(E) OF THE COMPANIES ACT, 1956 READ WITH COMPANIES (DISCLOSURES OF PARTICULARS IN THE REPORT OF BOARD OF DIRECTORS) RULES AND FORMING PART OF DIRECTORS REPORT.

1). CONSERVATION OF ENERGY:

The company has no activity relating to Conservation of Energy, during the year.

2). TECHNOLOGY ABSORPTION:

The Company has entered into Technical collaboration with M/s. Elin Union, Austria.

- Technology imported: Load Break Switch and off load isolators.
- Year of Import: Agreement 1984 extended for a further period of six years from 1999.

3). DIRECTORS' RESPONSIBILITY STATEMENT:

In terms of provisions of Section 217(2AA) of the Companies Act, 1956 the Directors confirm.

1. That in the preparation of the Annual accounts, for the financial year ended 31st March, 2010 the applicable accounting standards had been followed along with proper explanations relating to material departures.

2. That the Directors had selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent, so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit of the Company for that period.

3. That the Directors had taken proper and sufficient care for the maintenance of adequate accounting records, in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities; and

4. That the Directors had prepared the annual accounts on a going concern basis.

COMPLIANCE CERTIFICATE:

Compliance Certificate as required under provision to Sub-section (1) of Section 383A of Companies Act, 1956 is annexed hereto.

PERSONNEL:

Particulars of Employees pursuant to Section 217(2A) of the Companies Act, 1956 are not applicable since none of the employees are in receipt of remuneration in excess of the limits specified herein during the period under review.

ACKNOWLEDGEMENTS:

Your Directors would like to express their grateful appreciation for the assistance and continued co-operation extended by the Banks, Government Authorities and Clients during the period under review. Your Directors wish to place on record their deep sense of appreciation for the devotion and sense of commitment shown by the employees at all the level and acknowledge their contribution for its success.

For and on behalf of the Board,

Place:Chennai
Date: 02-09-11

(J.M. MENEZES)
DIRECTOR

(V. LAVAKUMAR)
CHAIRMAN

Compliance Certificate

Registration No. 18- 008230

Authorised Capital: Rs. 20,000,000/-

To,

The Members,

M/s. KLK ELECTRICAL LIMITED

We have examined the registers, records, books and papers of M/s. KLK ELECTRICAL LIMITED (the Company) as required to be maintained under the Companies Act, 1956, (the Act) and the rules made there under and also the provisions contained in the Memorandum and Articles of Association of the Company for the financial year ended on 31st March 2011. In our opinion and to the best of our information and according to the examinations carried out by us and information, explanations and declarations furnished to us by the company, its officers and agents, we certify that in respect of the aforesaid financial year:

1. The company has kept and maintained registers as stated in Annexure 'A' to this certificate, as per the provisions and the rules made there under and all entries therein have been recorded.

2. The company has filed the forms and returns as stated in Annexure 'B' to this certificate, with the Registrar of Companies at the dates specified therein.

3. The company being a public limited company the applicability of Section 3(1)(ii) does not arise.

4. The Board of Directors met 7 (SEVEN) times on 15.05.2010, 03.06.2010, 31.07.2010, 28.08.2010, 30.10.2010, 31.01.2011 & 24.03.2011 in respect of which meetings the proceedings were recorded in the Minutes Book maintained for the purpose.

5. The company has closed its Register of Members and share transfer books from 29.09.2010 and 30.09.2010(both inclusive) and necessary compliance of section 154 of the act has been made.

6. The Annual general meeting of the company for the financial year ended on 31.03.2010 was held on 30.09.2010 and the resolutions passed thereat were recorded in Minutes Book maintained for the purpose.

7. No Extraordinary General Meeting of members of the company for the financial year ended on 31.03.2011. However the company has conducted a Postal Ballot for altering

the object clause of Memorandum of Association and the resolutions passed thereat were recorded in Minutes Book maintained for the purpose.

8. As per the information and declaration given by the management the company had not granted any loans to directors or persons or firms or companies referred in the provisions of Section 295 of the Act.

9. According to the information, explanation and declaration furnished by the management the company had not entered into any transactions pursuant to the provisions of section 297 of the Act, hence the question of obtaining approval u/s 297 of the Act does not arise.

10. The company has made necessary entries in the register maintained under section 301 of the Act.

11. According to the information, explanations and declaration furnished by the management, there was no instance falling within the purview of section 314 of the Companies Act, 1956 and hence the company was not required to obtain any approval from the Board of Directors, members, Central Government during the financial year under review.

12. The Board of Directors had not received any request for issue of duplicate share certificates during the year under review.

13. The Company, during the financial year under review, had:

(i) Delivered all the share certificates on lodgement thereof for transfer of shares and not made any allotment of securities or received any request for transmission of securities

(ii) Not Declared any dividend during the financial year under review and hence the question of opening of a separate bank account within the stipulated period does not arise.

(iii) Not declared any dividend/ interim dividend during the financial year and hence the question of payment/posting of dividend warrants within the stipulated time and transfer of unpaid/unclaimed dividend to unclaimed dividend account of the company does not arise.

(iv) No unpaid dividend, application money due for refund, matured deposits, matured debentures and the interest accrued thereon, which have remained unclaimed/unpaid for a period of seven years, to be transferred to Investor Education and Protection Fund.

(v) Generally complied with the requirements of section 217 of the Act.

14. The Board of Directors of the company is generally well constituted and the company has complied with the provision of the Act in respect of appointment of director by filing necessary forms with Registrar of Companies. There was no appointment of additional director, alternate directors or director to fill casual vacancy.

15. The company has appointed Managing Director during the financial year under review and complied with the provision of the Act by filing necessary forms with Registrar of Companies

16. The Company had not appointed any sole-selling agents during the financial year under review.

17. The Company had no transaction, which necessitated the Company to seek any approval from the Company Law Board, Regional Director, Registrar of Companies, Central Government or such authorities during the financial year under review.

18. The directors have disclosed their interest in other firms/companies to the Board of Directors pursuant to the provisions of the Act and the rules made there under.

19. The company had not issued shares/debentures/other securities during the financial year under review.

20. The company had not bought back any shares during the financial year under review.

21. The company had not issued any redeemable preference Shares/debentures; and hence the question of redeeming any preference shares/debentures does not arise.

22. The Company had not kept in abeyance rights to dividend, rights shares, and bonus shares pending registration of transfer of shares during the financial year under review.

23. According to the information and explanations given by the management, the company had not accepted any deposits from the public and outsiders except the unsecured loan borrowed from Director and their relatives which in the opinion of the management are not deposits and hence not complied with the provision of sections 58A and 58AA read with Companies (Acceptance and Deposit) Rules, 1975

24. The amount borrowed by the Company from the director and their relatives during the financial year is within the borrowing limits of the Company as fixed by the board of directors of the company. Since the amount borrowed by the company is within the limits laid down under section 293(1) (d), of the Act the compliance with the provision of said section does not arise.

25. According to the information, explanations and declaration furnished by the management, the company had not made any loans/ given guarantees or provided securities to other bodies corporate during the year under review. Hence compliance with the provision of section 372A does not arise.

26. The company had not altered the provisions of the memorandum with respect to situation of the company's registered office from one state to another during the financial year under review.

27. The company had altered the provisions of the memorandum with respect to the objects of the company during the year under scrutiny and complied with the provision of the Act

28. The company had not altered the provisions of the memorandum with respect to name during the year under scrutiny.

29. The company had not altered the provisions of the memorandum with respect to share capital of the company during the year under scrutiny.

30. The company had not altered its articles of association during the financial year under review.

31. According to the information, explanations and declaration furnished by the management, no prosecution has been initiated against the Company or no show cause notices has been received by the company for any alleged offences under the Act and hence the question of fine or penalties does not arise.

32. The company had not received any amount as security from its employees during the financial year under review except the amount brought forward from previous year; hence the applicability of the provisions of section 417(1) of the Act does not arise.

33. According to the information and explanations furnished by the management, the Company had not constituted its own Provident Fund pursuant to the provisions of Section 418 of the Companies Act 1956; however the company had generally been regular in depositing both the